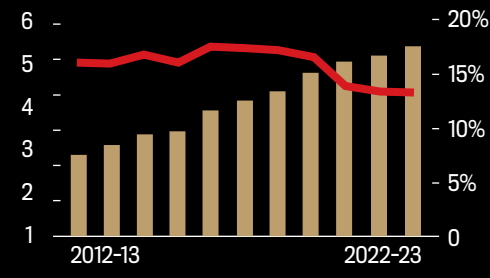
WHERE DOES THE MONEY GO?

Agnipath is also needed to reduce the ballooning expenses on salaries and pensions

1. DECREASING DEFENCE BUDGET

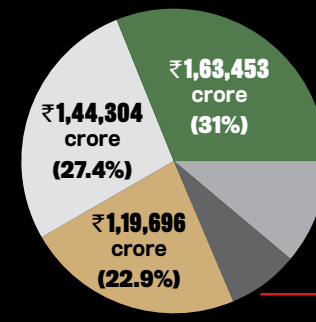
India's defence spend as a proportion of govt expense has fallen in the past decade



Defence expenditure (Rs lakh crore)
Defence expenditure as % of central government expenditure

2. SALARY SPEND INCREASES

Salaries and pensions eat into a majority of the defence outlay



(Budget Estimate 2022-23)

- Salaries
- Capital Outlay
- Pensions
- Stores
- Other expenses

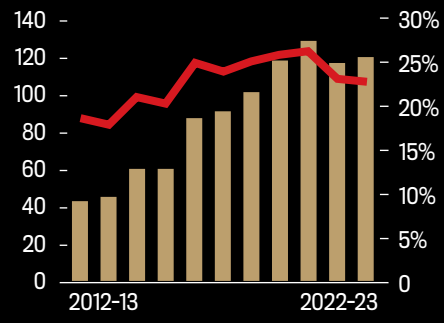
TOTAL BUDGET: ₹5,25,166 CR.

% of total budget 2022-23 in ( )



3. EXPENSES ON PENSIONS SOAR

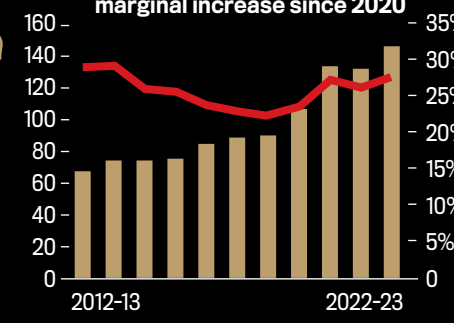
After the implemenation of OROP, pension obligations have shot up



Pension (Rs '000 crore)
Pension as % of defence expendentiture

4. CAPITAL EXPENDITURE HAS STAGNATED

Capital outlay has seen only a marginal increase since 2020



Capital outlay (Rs '000 crore)
Capital outlay as % of defence expenditure

5. ARMY TAKES THE LION'S SHARE OF THE BUDGET

More than half the defence budget goes towards servicing army obligations

MAJOR HEADS	ACTUALS 2020-21*	RE 2021-22*	BE 2022-23*	SHARE OF BUDGET
Army	2,84,143	2,90,673	3,06,055	58%
Navy	75,779	81,747	86,252	16%
Air Force	1,01,673	97,930	1,00,650	19%
Other	24,066	32,534	32,210	7%
Total	4,85,681	5,02,884	5,25,166	-

(*in Rs crore: RE: Revised estimate; BE: Budget estimate

6. BUT SPENDS MOST OF IT ON SALARIES AND PENSIONS

The army's huge wage bill leaves very little for modernisation

HEADS	AMOUNT ALLOCATED*	% OF SERVICE BUDGET
Salaries	1,27,693	42%
Pensions	1,02,808	34%
Modernisation	25,909	8%
Maintenance	20,383	6%
Others	29,262	10%
Total	3,06,055	100%

(*Year 2022-23, in Rs crore)

Source: PRS Legislative Research Report on Defence 2022-23